

What Is a Credit Score and Why Is It Important?

A credit score is a three-digit number ranging from 300 to 900 that shows how trustworthy you are in repaying borrowed money. In India, credit bureaus like TransUnion CIBIL, Experian, Equifax, and CRIF High Mark calculate this score based on your credit history.

Lenders such as banks and NBFCs use your credit score to decide if they will approve your loan or credit card application and at what interest rate. A good credit score, usually 700 or above, means you are seen as low risk, leading to faster approvals, lower interest rates, and better financial offers.

For example, a car loan applicant with a score above 750 is more likely to get quick approval and favorable terms, potentially saving thousands of rupees in interest payments over the loan tenure.



Key Factors That Affect Your Credit Score

Understanding what influences your credit score is the first step to improving it. Here are the five main factors that credit bureaus in India consider when calculating your score:

Payment History (35%)

Timely repayment of EMIs, credit card bills, and loans is the most important factor. Missing even one payment can lower your score significantly. This shows lenders whether you're reliable with money.

Credit Utilisation Ratio (30%)

This is the percentage of your available credit you use. Keeping it below 30% shows you manage credit responsibly and aren't desperate for funds. High utilisation suggests financial stress.

Length of Credit History (15%)

Older credit accounts improve your score by showing long-term responsible borrowing. A 5-year-old credit card demonstrates more trustworthiness than a 6-month-old account.

Credit Mix (10%)

Having a healthy balance of secured loans like home or car loans and unsecured credit like credit cards positively impacts your score. It shows you can handle different types of credit responsibly.

Recent Credit Inquiries (10%)

Applying for many loans or cards in a short time creates multiple hard inquiries, which can lower your score temporarily. It signals to lenders that you might be facing financial difficulties.

Simple Tips to Improve Your Credit Score in India

Building a strong credit score doesn't happen overnight, but these practical steps will set you on the right path. Follow these proven strategies consistently:

- **Pay All Bills and EMIs On Time**

Set up automatic payments or reminders to avoid late payments, which can severely damage your score. Even a single missed payment stays on your record for years.

- **Keep Credit Utilisation Below 30%**

For example, if your credit card limit is ₹1,00,000, try not to spend more than ₹30,000 before paying it off. If you need to spend more, consider requesting a credit limit increase.

- **Avoid Multiple Credit Applications**

Space out loan or credit card applications by at least 3 to 6 months to prevent multiple hard inquiries. Each application creates a record, and too many suggest financial desperation.

- **Maintain Old Credit Accounts**

Don't close old credit cards even if you don't use them often; they help build a longer credit history. Just use them occasionally for small purchases to keep them active.

- **Regularly Check Your Credit Report**

You can get a free credit report once a year from credit bureaus. Check for errors or fraud and dispute any inaccuracies promptly. Identity theft can destroy your score if undetected.

Frequently Asked Questions

- **How often should I check my credit report?**

You should check it **at least once every quarter**. Under RBI mandates, every credit bureau in India must provide you with one full credit report for free every year. Regular monitoring helps you spot identity theft or reporting errors early.

- **Why is my credit score "0", "-1", or "NH"?**

This means you have **No History (NH)**. If you have never taken a loan or used a credit card, the bureau has no data to score you. You can start building a score by getting a "Secured Credit Card" against a Fixed Deposit (FD).

- **Does a Debit card help build a Credit score?**

Debit cards use your own money, not borrowed credit. Therefore, transactions made via debit cards or UPI (linked to savings accounts) are **never reported** to credit bureaus and do not help your score.

- **Does Paying the "Minimum Due" on a Credit card keeps my score healthy?**

While paying the minimum prevents a "Late Payment" mark, it leads to high **Credit Utilization** and massive interest. Lenders see "minimum due" behavior as a sign of financial stress, which can lead to a stagnant or declining score over time.

- **If I pay off all my debts, Will the negative history disappears instantly?**

Your credit report is a history, not just a snapshot. Late payments or "Settled" accounts stay on your report for **7 years**. Paying off the debt stops further damage, but the past record remains, though its impact reduces as time passes.

Common Misconceptions About Credit Scores

- **Checking Your Own Score Lowers It**

Only hard inquiries by lenders affect your score. Checking your own score is a soft inquiry and has no impact. In fact, regularly monitoring your score is a responsible financial habit.

- **High Income Means Good Score**

Credit score depends on payment behavior, not income level. Even with modest income, timely payments build a strong score. A person earning ₹30,000 monthly can have a better score than someone earning ₹1,00,000 if they manage credit better.

- **Bad Scores Are Permanent**

Credit scores can improve. Negative marks gradually reduce their impact after 3-7 years with good payment behavior. Consistent positive actions always outweigh past mistakes over time.

- **Closing Accounts Helps**

Closing old credit accounts can reduce your available credit limit and shorten your credit history, potentially harming your score. Keep old accounts open and occasionally use them to maintain a healthy credit profile.